a) i) total value of all goods and services produced within an economy at a particular time period, usually a year.

ii) health and income

b) i)

Current a/c ⟨ BOT / Income

Net C a/c in 2017 = 974 − 1796 − 101 + 400 = −523

Net C a/c in 2019 = ~~−677~~ 714 − 1603 − 112 + 324 = −677

Δ = −627 − (−523) = −154

change = −154 US$ million

ii) econ growth = $\frac{3617 - 3497}{3497} \times 100\% = 0.0343 \times 100\%$

= 3.43%

c)

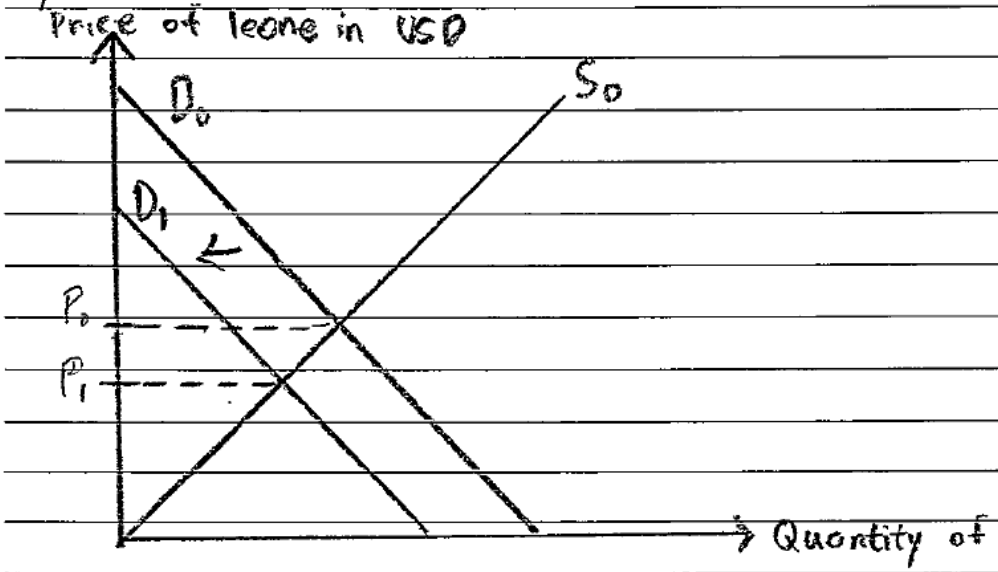


Figure 1

Initially, the market equilibrium exchange rate is at P_0 where D_0 equals S_0 ~~Figure~~ A fall in export revenue means that the demand for leone to purchase exports from Sierra Leone fell. This is shown by the fall in demand for leone from D_0 to D_1. Therefore the new equilibrium exchange rate of leone falls from P_0 to P_1 where D_1 cuts S_0, representing the depreciation of leone

d)

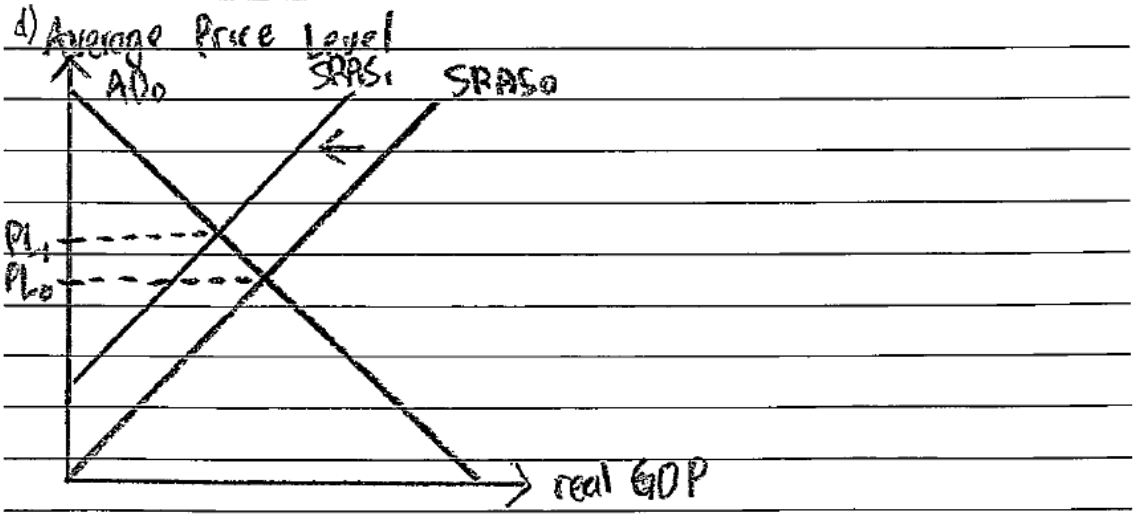


Figure 2

d continued)

Figure 2 represents the classical ADIAS model of Sierra Leone's economy. Initially, the market equilibrium average price level is at PL_0 where AD_0 cuts $SRAS_0$. However, due to the rise in the price of fuel, which is considered as a commodity to fuel energy production, the cost of production ~~of many~~ rises, leading to a fall in short run aggregate demand from $SRAS_0$ to $SRAS_1$. Hence, the ~~equili~~ market equilibrium average price level ~~falls~~ rises from PL_0 to PL_1, leading to cost-push inflation

e)

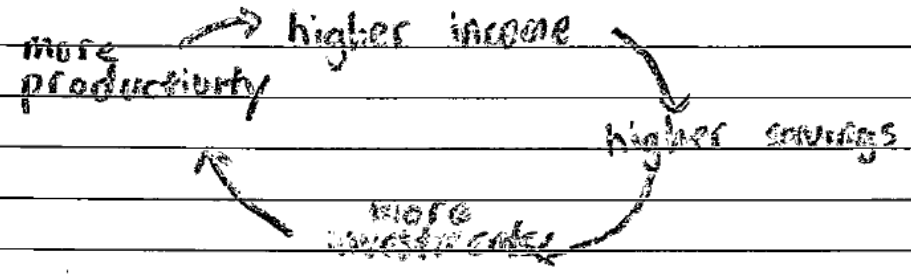


Figure 3

The provision of free primary and secondary education helps households gain new skills to become more productive and even enter higher-paying jobs. Therefore, productivity of workers rises, leading to higher income, then higher savings, which leads to even further investment on themselves, for example by starting a business, education and retraining, etc. This leads to even more productivity and even higher income and this cycle continues, allowing low-income households to escape poverty trap.

f)

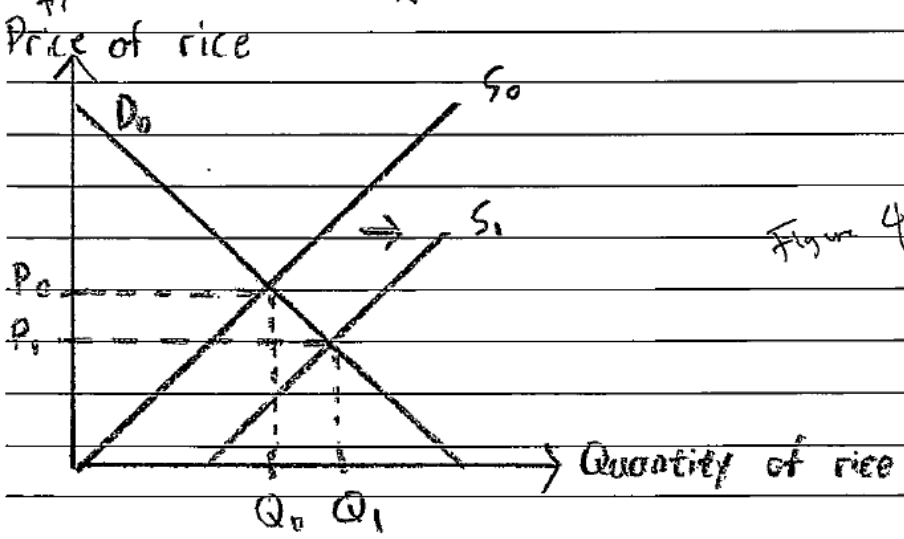
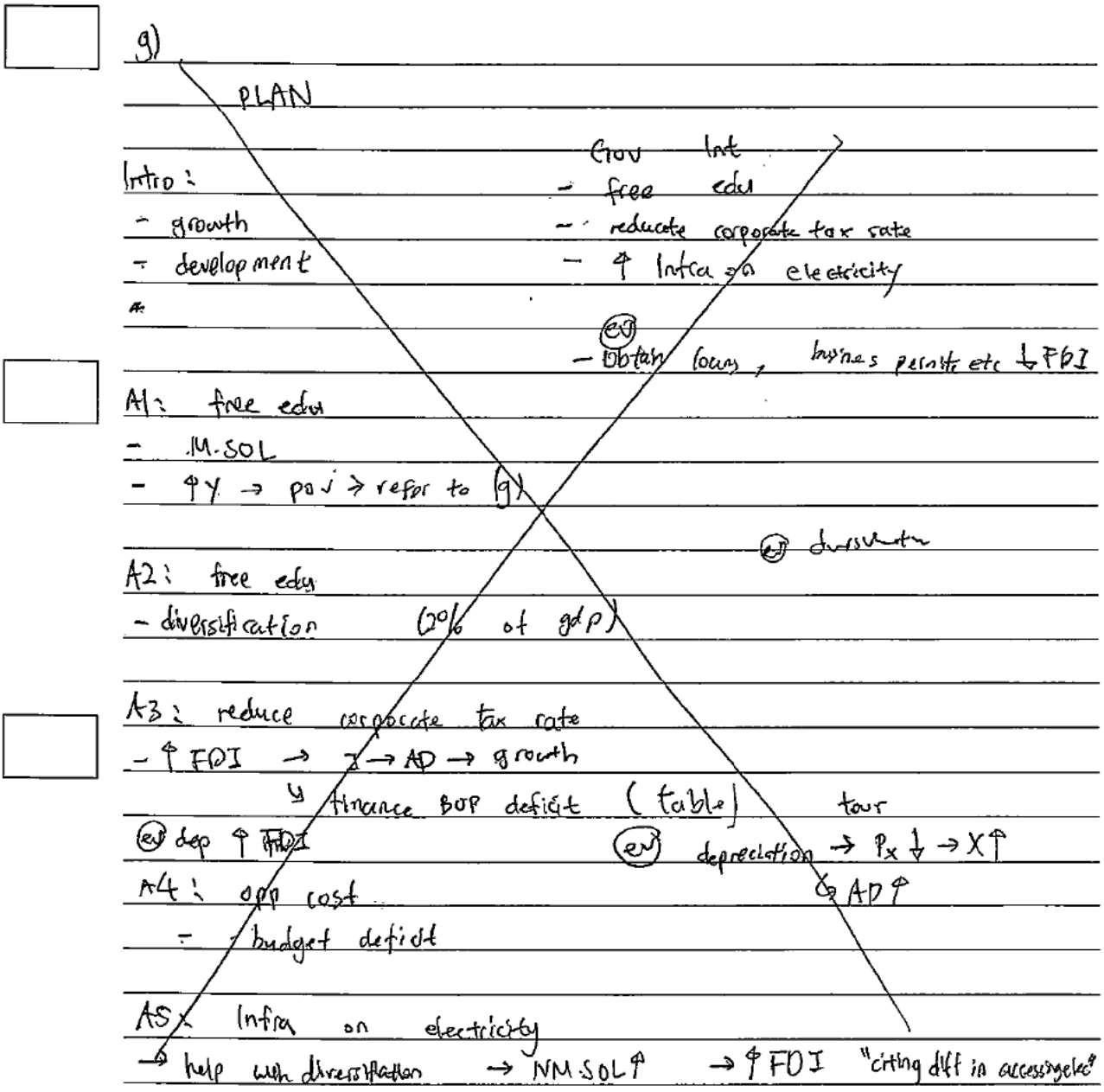


Figure 4

Initially, the market equilibrium price and quantity for rice is at P_0 and Q_0, respectively, where D_0 acts S_0. However, due to modern farming practices such as using machinery and fertilisers being available thanks to government intervention on education, cost of production of rice falls, leading to a rise in the supply of rice from S_0 to S_1. Hence, the new market equilibrium ~~price~~ price and quantity is at P_1 and Q_1 where D_0 acts S_1. ~~#~~ Since, rice as a neccessity has price elasticity of demand of less than 1, the fall in price from P_0 to P_1, leads to less than proportional rise in quantity demanded from Q_0 to Q_1.


g)
PLAN
Intro :
- growth
- development
Gov Int
- free edu
- reducate corporate tax rate
- ↑ Infra on electricity
- Obtain loans, busines permits etc ↓FDI
A1: free edu
- M.SOL
- ↑Y → pov → refer to (g)
A2: free edu
- diversification (20% of gdp)
A3: reduce corporate tax rate
- ↑FDI → I → AD → growth
finance BOP deficit (table)
dep ↑FDI
depreciation → Px ↓ → X↑
AD↑
tour
A4: opp cost
- budget deficit
AS: Infra on electricity
→ help with diversification → NM.SOL↑ → ↑FDI "citing diff in accessing elec"

~~From~~ Economic growth ~~refers to~~ can be categorised into two types, actual growth and potential growth. Actual growth refers to the rise in real GDP over a period of time. Potential growth refers to the rise in productive capacity of an economy over a period of time. Development however is a multidimensional concept involving the rise of well-being ~~if~~ within the economy such as by reducing income gap, raising standards of living, etc.

Government intervention to provide free ~~education~~ primary and secondary education may promote growth and development. Firstly, greater ~~educatio~~ access to education enables more people to gain the ability to read, write and obtain more knowledge in the future, and thus raising the non-material standards of living. Apart from this, greater education also ~~stud~~ improves productivity of workers and helps low-income earners escape the poverty trap as discussed fully in part (e).

Free education also helps the economy diversify into other sectors such as the manufacturing sector, which only contribute to "2% of the country's GDP". This will be made possible as ~~educat~~ individuals who have received adequate level of education on the manufacturing industry will be able to find employment in the manufacturing sector, which ~~raises the~~ incentivises the development of manufacturing industry. This is particularly relevant for Sierra Leone's economy, whereby ~~the~~ primary sector output contributes "70% of gross domestic product (GDP) and 77% of export revenue". Such primary sectors tend to earn low revenue

per unit sold, and therefore ~~aggregate demand~~. GDP and export revenue only rises to a smaller extent. However, higher value-added industries like the manufacturing industry earns higher revenue per unit sold and thus boosting the economy's growth, which is already weak as economic growth has fluctuated from "+20.1%" to "-21.5%" from 2013 to 2015. Moreover, primary ~~industry like~~ sector like the agricultural sectors are more susceptible to external shocks such as natural disasters or weather changes like draught, meaning that such shocks could have a detrimental ~~effect~~ on the entire country's ~~of~~ GDP or export revenue. By diversifying, gross national income of the economy will rise in the long term, leading to higher material standards of living as consumers with higher disposable income are better able to purchase final goods and services, ~~leading to~~ to satisfy wants.

Government intervention may promote growth and economic development. Free education will provide more education to the population, ~~thus~~ meaning that the size of workforce or labour ~~will~~ rise. as well as the quality of labour will rise. This effect will be to a greater extent because more girls in particular will be able to join the workforce, which increases the size of workforce as well as the range of perspectives in decision-making. Hence, long-run aggregate supply will increase leading to rise in ~~equilibrium~~ full employment level of output and thus potential growth. ~~Moreover, this may even promote equity as~~

Government intervention may promote economic growth and economic development. Apart from the fact that "expected increase in human capital" will "lead to investment", the government has also ~~imposed~~ reduced corporate tax rates on "agricultural and tourism" sector. Therefore, foreign investors may gain higher after-tax profit on these sectors and therefore foreign direct investment inflow rises. Since investment expenditure is a component of aggregate demand - C+I+G+X-M - aggregate demand rises, leading to a rise in equilibrium real ~~GDP~~ GDP and actual growth. This effect will be to a large extent because ~~the~~ depreciation of leone decreases the cost of investment as well as tourism in foreign currency, resulting in even more foreign direct investment inflow and ~~more~~ greater export revenue from tourism. Foreign direct investment inflows as well as rise in ~~net~~ net export revenue will also be able to finance the current account deficit of US$677 million in 2018, preventing any unintended depreciation of leone.

~~How~~. Government may not effectively promote economic growth and economic development. The policies discussed above such as government spending on free education, less tax revenue due to ~~lower~~ reduced corpora tax, ~~the~~ incur large sums of opportunity cost, which could have been spent elsewhere to promote greater welfare. Moreover, these expenditures may create a burden to the budget as "foreign aid has been reduced", "many economic activities remain untaxed" and government already has debt of "62% of GDP" as well as budget deficit of "3.4%".

9 (continued)

In conclusion, the government intervention has various effects on ~~the~~ economic growth and economic development, whereby its extents depends heavily on the pros and cons of each policy implemented. However, achieving economic growth and economic development is complex and multidimensional. ~~Whereby~~ Therefore whether or not the government should intervene should be determined by a cost and benefit analysis. If the benefit outweighs the cost, the government should implement it. For the case of Sierra Leone, its Government has mainly implemented supply-side policies to improve human capital and productive capacity as well as investments. However, given the current situation with ~~stagnating~~ falling actual growth, it may be more effective to use other policies like ~~an~~ expansionary fiscal policies instead, in the short run to promote growth and to prevent any recession. However, in the long run, current government intervention may be favourable when the economy reaches full capacity.